



North South University

Course: MKT202; Section: 14

Report on Aarong Taaga

Submitted To:

Fahad Feroz

Lecturer

North South University

Submitted by:

Name	ID
Amit Hossain	2221681630
Sunve Hasan	2222494630
Al Sifat Siddiki	2222495643
Ayon Roy	2221412630
S.M. Shadman Sakib	2222307630

Letter of transmittal

11th June 2023

To,
Fahad Feroz
Lecturer
Department of Marketing and International Business
School of Business and Economics
North South University

Subject: Submission of group report on introducing the new service 'PayLater' by Aarong Taaga

Sir,

This is the group report that we were allotted on the company as per your request. The report has been completed by the knowledge and lesson that we have drawn together from the course 'Introduction to Marketing'.

We are thankful to you for your proper guidance and countless counsel, and for giving us the opportunity to work on such wonderful project. It will be a pleasure for us if you go through the whole report cordially and we will try to answer all the questions that you may have regarding it.

We have tried our very best to complete this report meaningfully and accurately, as much as possible. We do believe our immense effort will be reflected upon it.

Regards,

Amit Hossain
Sunve Hasan
Al Sifat Siddiki
Ayon Roy
S.M. Shadman Sakib

Acknowledgment

We would like to thank our course instructor Fahad Feroz sir for allowing us to do this report. Without his assistance, we couldn't complete this research in due time. We would also like to thank our wonderful coursemates for sharing their ideas with us and helping us to create the best possible report on this topic for this course.

Executive Summary

The purpose of the report is to introduce a new product for Aarong Taaga for its target customers. To first understand the company, we researched every piece of info available on the internet and from its employees firsthand. Research about the company led us to believe that Aarong Taaga needs a new product to revitalize the brand and create a loyal base of customers. After figuring out about the company and what it needs right now, we concluded that we should offer the customers a credit system that enables our customers to purchase their desired products without having to pay for them immediately.

Table of Contents

Company Description

Segmentation, Targeting and Positioning(STP)

Market Segmentation of Aarong Taaga

Target Market of Aarong Taaga

Shopping Methods

Competitors of Aarong Taaga

Market Trends Followed by Target Customers

Positioning strategy of Aarong Taaga

Product

Introduction

Satisfied Needs

Name of the Service

Competitors

Pricing

Value Proposition

Price Sensitivity

Pricing Methods

Placement

Service Availability

Distribution Channels

Sales Force Structure

Promotion

Location of Target Customers

Marketing Channels

Conclusion

Bibliography

Company Description

Aarong Taaga is a sub-brand of Aarong which launched in 2003. It has since carved out its identity, finding its place amongst young consumers who resonate with its ability to be responsible, versatile, and modern. This lifestyle shop can be found inside all Aarong outlets and online at www.aarong.com/brands/taaga.

Aarong— meaning 'village fair' is Bangladesh's most popular lifestyle retail chain. In 1976, Ayesha Abed, the late wife of the late Sir Fazle Hasan Abed, founder of BRAC, initiated many of the activities of Aarong by identifying and experimenting with various crafts that women could produce at homes such as Naskhi Kantha, embroidered goods, baskets, mats and items made of cane, bamboo, and jute. This ethnical brand began in 1978 as a humble means to empower rural artisans to rise above poverty. Today, with 26 retail stores across Bangladesh and over 100 fashion and lifestyle product lines, Aarong supports 65,000 artisans with fair terms.

Taaga offers a wide range of products including sarees, salwar kameez, kurtis, tops, pants, skirts, dresses, jackets, and accessories. The brand is known for its vibrant colors and prints that are inspired by the rich cultural heritage of Bangladesh.

Taaga's products are designed to cater to the needs of modern women who want to look fashionable while still being comfortable. The brand uses high-quality fabrics that are both durable and comfortable to wear.

Taaga also has a sub-brand called Taaga Man which offers a range of clothing for men including t-shirts, shirts, pants, and accessories.

Key people of Aarong are:

1. Tamara Hasan Abed, Managing Director.
2. Mohammad Ashraful Alam, Chief Operating Officer.
3. Rajesh Khajuria, Chief of Design and Product Development.
4. Sasi Kumar, Head of Operation.

Aarong Taaga has been recognized for its contribution to the fashion industry in Bangladesh. In 2021, it won the Best Fashion Brand award at the Bangladesh Brand Forum Awards.

TAAGA sponsors an award named TAAGA Outstanding Young Professionals Award. It is an award that recognizes young professionals who have made significant contributions to their respective fields.

Segmentation, Targeting, Positioning(STP)

Market Segmentation of Aarong Taaga: Every company has to create segments in the market to properly reach the target customers of the brand. Aarong Taaga is no exception in this matter. Here, we analyzed the 4 different types of market segmentation relevant to Aarong Taaga:

1. **Geographical:** Since its inception, Aarong Taaga has been targeting customers living in the urban areas of Bangladesh. Almost every major city and all of the divisional headquarters in Bangladesh has at least one outlet of Aarong Taaga.
2. **Demographical:** Women around the age of 18 to 35 with a moderate to high-income level are the main customers of Aarong Taaga. Women of all religious backgrounds are included in the target customers.
3. **Psychological:** Aarong Taaga imposes women empowerment, thus encouraging the educated and employed women of the society with ambitious and extroverted personalities to be a customer of this company. Moreover, Aarong Taaga is appealing to both fashion enthusiasts and cultural appreciators, so women who want to both be fashionable and appreciate the culture at the same time can easily rely on this brand.
4. **Behavioral:** Aarong Taaga heavily focuses on occasions like Bangla New Year, Eid, Puja, etc, and introduces new products and outfits relevant to each festival. This company values quality, comfort, style, and authenticity in its products, and is also on a social mission to support the local artisans which aligns with the interests of its target customers, which creates a strong sense of brand loyalty for its customers.

Target Market of Aarong Taaga: After segmenting the market, companies target which types of customers they want to pursue, in relevance to their products. After conducting thorough research, we have identified 4 different types of targeting for Aarong Taaga:

1. **Young Urban Professionals:** Women working in corporates or any salary jobs are the primarily targeted customers for Aarong Taaga. They are aged between 18-35, fashion enthusiast, and deeply appreciates cultural values.

2. **College Students:** College-going young adults who are easily swayed by new trends and styles are another set of target customers for this company. Though they are restrained by their financial conditions, this group of women wants to express their enthusiasm for fashion through their clothing choice.
3. **Cultural Appreciators:** As Aarong Taaga is the pioneer in blending this country's cultural styles with modern fashion, those who appreciate and admire cultural values fall into the target market of this company.
4. **Online Shoppers:** Customers who prefer to shop from home and value home deliveries are also targeted by Aarong Taaga. They can visit the Aarong website, app, or social media pages to browse the latest collections, offers, and events.

Shopping Methods: Aarong Taaga started off as a retail fashion store, where its products are sold while the customer is physically present at the shop. As the technology advanced and internet users grew in Bangladesh, Aarong Taaga also opened an online market place for its customers. Customers can use both online and offline shopping options to buy Aarong Taaga products.

Competitors of Aarong Taaga: The competitors of Aarong Taaga are mainly other local brands that offer similar products or services, such as Kay Kraft, Anjans, Rang, Deshal, Bibiana, etc. They are also marketing to the same segment of young urban women who are looking for fashionable, comfortable, and affordable clothing options. They use various promotional strategies such as advertising, social media, discounts, loyalty programs, etc. to attract and retain customers.

Market Trends Followed by Target Customers: The trends that the target buyers are now following are influenced by both global and local factors. They are aware of the latest fashion trends from around the world, such as tie-dye, embroidery, prints, etc., and they also appreciate the traditional and ethnic elements of Bangladeshi cultures, such as handloom fabrics, motifs, colors, etc. They are looking for products that can blend both aspects and create a unique and distinctive style statement.

They are also conscious of the environmental and social impacts of their consumption choices, and they prefer products that are made from natural, organic, or recycled materials, and that support fair trade, ethical production, and social causes and distinctive style statement. They are also conscious of the environmental and social impacts of their consumption choices, and they prefer products that are made from natural, organic, or recycled materials, and that support fair trade, ethical production, and social causes.

To conclude, target customers are looking to buy traditional clothes which are acceptable in modern society, from a brand that support to protect environmental and social interests.

For example, a product of Aarong Taaga is 'Deep Purple Printed Handloom Viscose-Cotton Tunic. Handloom dresses are a trademark of traditional rural Bangladesh. It has been given a touch of modernity with the printed colors, and by using materials like viscose and cotton to produce the final product. It is also environment friendly and is produced ethically. The target customers of Aarong Taaga prefers to wear dresses such as this.

Positioning strategy of Aarong Taaga: Positioning involves creating an image that makes the company unique and different from other brands. Considering the current situation, Aarong Taaga can be positioned as a brand that offers a fusion of fashion and culture, and that caters to the needs and preferences of the modern urban woman who is confident, independent, and socially responsible.

We want to highlight the features and benefits of Aarong Taaga products, such as their quality, comfort, style, authenticity, and sustainability. We also want to emphasize the value proposition of Aarong Taaga as a brand that supports the local artisans, empowers women, and contributes to social development.

Product

Introduction: After a lengthy and rigorous brainstorming session, we have come up with the idea of introducing an unique service in the apparel market. It has been introduced in other companies like Pathao, but for us and our field of work, no other competitor has worked on this particular segment.

Our proposed service is a credit system which enables our customers to purchase their desired products without having to pay for them immediately. Customers can choose this payment method for selected products, and pay for them at a later date of their choice.

Satisfied Needs: This service aims to fulfill the need for financial flexibility among customers. Those who want to buy an Aarong Taaga product, but is not carrying the necessary funds to purchase it, may use this service to avail that product without having to pay for it. In other words, while shopping, customers are granted an option of choosing Taaga products while being financially flexible. With this service customers can grab the opportunity to purchase their desired products and pay for it at a later date of their liking.

Customers also need to look for services that will offer them convenience and affordability, which our proposed service will do flawlessly. By offering customers the opportunity to enjoy the immediate benefits of going with the trend without worrying about any financial burden, we will provide an option of exercising flexibility that allows them to manage their expenses more efficiently.

We also need to keep in mind that customers want to purchase products in the most convenient method, and they do not necessarily need a pay-later system if it is not convenient. Failure to understand what the customers actually need may result in ‘marketing myopia, which must be avoided by any costs. What we want to achieve by introducing this mode of paying is to create brand loyalty among customers who does not entertain financial flexibility, which will ultimately benefit both us and the customers. If this is achieved, this company will enjoy a stable growth over a long period.

Name of the Service: The name of the service is "PayLater." In the marketplace, it should be positioned as a convenient and accessible option for customers who want to shop for clothes without the immediate payment obligation. It emphasizes financial flexibility and the ability to enjoy the products now and pay later.

Competitors: Aarong Taaga may have many competitors in the apparel market, but no other company in the same market as them is currently offering the proposed service of “Aarong Taaga PayLater” right now. With a strong focus on convenience and affordability, while satisfying the needs of financial flexibility of the customer, “PayLater” stands out as the only provider of this type of service in the market. This will allow us to enjoy a competitive edge over our rival companies, and attract a broader base of potential customers from customers who is in dire need of a services such as “PayLater”.

Pricing

Value Proposition: “PayLater” enables the opportunity for customers to purchase without paying upfront. It creates a strong sense of financial flexibility in its customers and meets the needs of those seeking financial convenience. By enhancing customer loyalty and satisfaction, this service positions Taaga as a brand that offers innovative and customer-friendly solutions. Students, who have limited financial freedom, will be the most benefitted from this service, which allows them to access desired Taaga products without immediate financial burden.

Price Sensitivity: As this service is unique in this country’s market, there are no pre-established price points for it. As a result, Taaga has the liberty of setting the price to both their and their customers’ liking which fulfills the interest of both parties.

That said, the target customers for this service mainly consist of students and young professionals with limited financial freedom. They exhibit a very strong sense of price sensitivity, which restricts Taaga to set the price at a reasonable level. They compare various payment methods- including cash, card, and MFS and decide which is the best for their benefits. Taking into account the price sensitivity of the service, it is vastly important to emphasize the value proposition of “PayLater”.

If the customers can perceive how this service will enable them to afford Taaga products without having to worry about immediate financial burdens, or extra fees and how it will enhance their shopping experience, this service will be an instant success. This service needs to be positioned as a cost-effective and advantageous option for the customers to attract their interest and participation.

Pricing Methods: The main goal of introducing “PayLater” in the market is to provide customers with a credit system in payment for financially restricted customers without having to

charge any interest, and to make this a reality we will need to explore alternative revenue generation methods.

Firstly, we need to deploy the market penetration pricing strategy for this service, where we will offer the pay-later service at a lower price compared to the other payment methods such as credit cards, or even provide it for free for a limited time. This approach will enable us to capture market share swiftly and attract customers who seek convenient and affordable means to purchase Taaga products. By implementing this strategy, this will allow us to both create brand loyalty among customers and discourage them to migrate to other payment methods or clothing brands.

However, it is also crucial to keep the balance between generating demand and maintaining profitability. We should make sure we are not incurring losses by offering this service for an extended period or at an excessively low price. Monitoring the market continuously and adjusting the price and period according to the demands is necessary to make sure this service does not fail.

For example, we could offer the pay-later service for free for the first three months, and then charge a flat fee for the service. This fee could be a one-time fee or a 3% fee on all purchases made with the service afterward. This way, we can balance between generating demand and revenue.

Placement

Service Availability: Almost all the customers of Aarong Taaga buy their products from physical outlets situated in every major city and divisional headquarters in Bangladesh. After the introduction of the pay-later system, customers will most likely look for this service specifically at these outlets. Ensuring that they know about this payment option is crucial to make this service a success, so it is important to prominently display its availability at the checkout counters during the payment process.

To increase awareness and attract more customers, marketing campaigns can be implemented over various platforms including social media. As our target customers are young professionals and students, a physical promotional campaign can be done at some of the most prominent universities in Bangladesh.

Customers who are willing to pay through the pay-later system also have to go through a security verification to prevent the possibility of theft, which may prove to be a hassle to implement online. The security verification requires the customers to provide their NID and institutional/workplace ID card to confirm their identity. So it is suggested to not offer this service on the online marketplace of Aarong Taaga for customers using it for the first time. However, using PayLater can be made available for customers who have already used this service multiple times and have already verified their identity at a Taaga outlet. For example, customers can only use this service online after buying Taaga products worth at least 15,000 BDT through PayLater.

Distribution Channels: “PayLater” will pursue a direct sales distribution channel or a ‘Zero Level’ distribution channel. As this is a payment method introduced directly by Aarong Taaga, using other intermediaries is unnecessary for this service. By eliminating intermediaries, costs are reduced and we can have more control over pricing and distributing decisions. Besides, this enables us to enhance customer experience and build strong relationships with them.

Sales Force Structure: As “PayLater” is a payment method to be introduced by Aarong Taaga for a highly segmented market, it is necessary on a certain scale for sales to represent this service directly to customers. For this service, the customer sales force structure is best suited to promote this product.

Our target customers are young professionals and students with a lack of financial flexibility, so we have to train our sales force according to the psychology of this demography. After training them, we will equip them with the necessary tools and resources to effectively engage with customers, address their inquiries, and drive sales growth.

They can be sent to various marketing campaigns, which will most occur in universities, and engage with the customers to encourage them to buy Aarong Taaga products through this payment method. By focusing on our targeted customers using the sales force, we can provide specialized expertise and build strong relationships with our target customers.

Using a sales force will also enable us to use the Push Marketing Strategy. As our market is highly segmented, we have to take our service to our customers and let them know about its existence.

Promotion

Location of Target Customers: Aarong Taaga has a strong presence in all of the major cities and divisional headquarters all over the country, where a great number of its target customers reside. For “PayLater”, the customers are even more segmented, as most young professionals and students with a lack of financial stability will prefer to use this service more than others.

As a result, the target customers for “PayLater” can be found near the existing outlets of Aarong Taaga. Corporate offices and major universities are mostly in the city areas of Bangladesh, from where the outlets of our company are easily accessible. These customers prefer to buy their products from both physical shops and online.

Moreover, a majority of the customers of Aarong Taaga prefer window shopping. To conclude, the target customers will be found near every Aarong Taaga outlet, and they will visit the shop to buy the products.

Marketing Channels: Our target customers use various marketing channels regularly, such as social media (Facebook, Instagram, YouTube, etc), word-of-mouth (friends, family, influencers, etc.), and direct marketing (email, SMS, flyers, coupons, etc.). As their age group is between 18 to 35, which falls between Generation Y and the early Generation X, they are expected to use these channels the most than other traditional mediums. These channels can help us reach our target customers effectively and efficiently:

1. **Social Media:** Platforms like Facebook, Instagram, and YouTube provide an opportunity to reach a large and diverse audience in Bangladesh, which comprises over 40 million active users. Also, the target customers of “PayLater” is hugely active on these platforms. Through social media, we can create brand awareness and loyalty by posting engaging content and offers about our products and services. Additionally, we can interact with customers, gather feedback and suggestions, showcase products through live videos and stories, and measure performance using analytics tools.

2. Word-of-Mouth: Leveraging word-of-mouth marketing involves encouraging personal recommendations and referrals from satisfied customers and influencers. Positive word-of-mouth can create buzz and viral effects among our target customers, build trust and reputation, and increase customer retention and loyalty.
3. Direct Marketing: Direct marketing channels such as email, SMS, flyers, and coupons enable direct and personalized communication with customers. Taaga can establish programs like Taaga Rewards Club (email), Taaga SMS Alerts, Taaga Catalogs, and Taaga Discount Coupons. These channels allow tailored messaging and offers, encourage repeat purchases and loyalty by providing rewards and benefits, and track results and responses through customer relationship management (CRM) tools.

Our competitors usually use the same channels to promote different products, as it is the most effective for this market. To make sure our promotions are effective and do not clash with the competitors, we need to carefully adjust our marketing methods to suit the tastes of our target customers.

Historically for our company, these same marketing channels have also worked for us to promote our products. So, it is expected that to promote our new service “PayLater”, using the same marketing channels as before will prove to be fruitful.

Conclusion

Aarong Taaga's proposed service, "PayLater," aims to provide customers with a unique credit system in the apparel market, fulfilling their need for financial flexibility and convenience. By offering customers the option to purchase desired products without immediate payment, Taaga aims to attract and retain customers while enhancing their shopping experience. As the only provider of this type of service in the market, Taaga enjoys a competitive edge over its rivals. Pricing methods, such as market penetration pricing, will be implemented to balance demand and profitability, targeting price-sensitive customers, especially students and young professionals. To promote "PayLater," Taaga will leverage its existing distribution channels, primarily physical outlets, and employ a direct sales force structure, targeting the segmented market effectively. Marketing channels, including social media, word-of-mouth, and direct marketing, will be utilized to reach and engage the target customers, generating brand awareness and loyalty. By leveraging these strategies and understanding the needs of the target customers, Taaga aims to establish "PayLater" as a cost-effective and advantageous option, fostering customer satisfaction and long-term growth.

